

Gross Margin

The gross margin is the surplus available to meet the company's expenses. It is calculated by dividing the difference between sales and the cost of goods sold, and expressing it as a percentage of sales:

$$\text{Gross margin} = \frac{\text{Sales} - \text{Cost of goods sold}}{\text{Sales}} \times 100$$

Illustration

The following figures were extracted from the financial statements of Hindustan York Ltd.

	Year-1	Year-2
	Rs.	Rs.
	(crore)	(crore)
Sales	400	500
Cost of sales	275	350
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	125	150
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Gross margin (%)	31.25	30.00

In Year-2 Hindustan York's sales increased by 25% to Rs.500 crore and its gross profit increased by Rs. 25 crore, or 20%. Both of these, in these difficult times, are positive. However its gross margin fell by 1.25%. This could be due to several reasons, such as:

- Increased competition: the company reduced its margins to boost sales.
- The company took a conscious decision to reduce its margins in order to improve sales.
- A deterioration in the product mix.
- The company was unable to pass on cost increases to its customers.

An investor should not jump to a conclusion on seeing an improvement or a deterioration in the gross margin. He must go beyond the figures and seek the reasons for the change. An increase in the margin may simply be due to an increase in price whereas a fall could be due either as a consequence of a conscious decision to increase sales or company's inability to pass inflationary cost increases on to customers.